Revision Date:
November 1, 2023.

Background:
In order to be eligible for CalWORKs, state regulations require a customer to seek or accept potentially available income. State regulations require customers, whenever appropriate, apply for Unemployment Insurance Benefits (UIB) as part of their responsibility to explore income potentials.

Purpose:
This section provides instructions for customers to apply for UIB. The purpose of this revision is to reformat this section to current standards. No policy or procedure changes have been made. In addition, with this revision the clarification from CalWORKs Program Guide (CPG) Policy Inquiry (PI) No. 2013-10 Overpayment Deduction from UIB is incorporated into this section. CPG PI No. 2013-10 becomes obsolete with the issuance of this material.

Policy:
CalWORKs Eligibility Conditions
Aid is to be denied or discontinued when a mandatory included person who has been referred to the Employment Development Department (EDD) fails to apply for UIB, or fails to accept UIB, or who fails without good cause to meet the conditions of eligibility for UIB. Examples of good cause include but are not limited to:

- Illness or incapacity.
- Court related appearance or incarceration.
- Emergency family crisis or sudden change of immediate family circumstances.
- Breakdown in transportation arrangements with no readily accessible alternate means of transportation.
- Inclement weather.
- Lack of child care.
- The assignment of job referral does not meet the appropriate work and training criteria, including when the person fails to meet UIB eligibility conditions due to Employment Services activities.
- Refusal to accept major medical services, even if such refusal precludes participation in the program.

General Information on UIB
UIB is a program that provides income to eligible persons who are out of work. In general, eligible claimants applying in California must have earned a minimum of $900 during a twelve-month base period within the last 19 months and must:

- Not have quit the job without good cause.
- Not have been fired for cause.
- Be able and available for employment.
- Be seeking employment.

Requirement to Apply for UIB

All customers who have worked in the last 19 months and who are not exempt from applying, are required to apply for UIB. The UIB application is a technical condition of eligibility and aid cannot be granted until this requirement is met.

Note: When a potential claim is not present on the EDD on-line real-time match, the customer must not be referred to EDD. (A copy of the screen print is required for documentation in the case file).

Exception to UIB Application Requirement

The following individuals are not required to apply for UIB:

- Fully employed (40 hours/week).
- Currently receiving or has an application for UIB, Disaster Unemployment Assistance (DUA), SDI or Workers' Compensation.
- Has not worked in employment covered by the Unemployment Insurance Compensation Law in the past 19 months.
- Ill or injured (in this case the possible eligibility to SDI or Worker's Compensation must be explored)
- UIB claim has exhausted.
- Verification of an Invalid Claim.
- A potential claim is not present on the EDD real-time match.

All of the above exceptions must be documented in the case file.

Note: Undocumented persons cannot legally collect UIB. Therefore, those persons must not be referred to apply for UIB. Should an undocumented person apply for and receive UIB, existing procedures must be followed to budget the UIB income.

Treatment of UIB Income

UIB is nonexempt unearned income. However, lump sum payments received for a retroactive period should be treated as property in the month received and the subsequent months.

The countable amount of UIB is the gross amount received less the required expense deductions related to the receipt of the income. Required expenses related to receipt of the income include:

- Required Income Tax deductions.
  Note: Deductions for required income tax payments from UIB are not considered as part of the countable UIB amount regardless of whether the individual has the option to have the taxes deducted directly from the income.
- Mandatory Medi-Care deduction.
- Attorney fees deductions that are required to receive the income.
- UIB withheld to adjust a previous UIB overpayment.

Deductions, such as UIB intercepts, resulting from other personal debts and garnishments must be included in the net income amount, as these are **not** considered required expenses related to the receipt of the income. UIB intercepts include, but are not limited to, court ordered child support, traffic tickets, CalWORKs overpayments, etc.

Extended UIB
During periods of high unemployment, California has a special program for claimants whose regular benefits have expired or have been exhausted. This is the California Extended Duration (Cal-Ed) program. The Federal Government has a similar program of extended benefits known as Federal Extended Benefits (Fed-Ed).

Interstate Claim
Persons residing in one state (the agent state) are allowed to claim benefits from another state (the liable state), if wages earned were covered by the liable state. Interstate claims are filed through the local EDD office, with benefits paid by the liable state. To file a claim the customer must call the EDD call center. EDD will send the customer a form verifying receipt of application. The applicant must give EDD a mailing address.

Note: The form does not have the customer's name or other identifying information. The customer must be informed to keep and provide the envelope in which the form is sent as verification of application.

Disaster Unemployment Assistance (DUA)
DUA is a program that provides income to eligible persons when the President or Governor declare certain counties as disaster areas.

The DUA program covers individuals who have the legal right to work in the United States but are not eligible for regular unemployment benefits, including but not limited to, individuals who have exhausted their regular unemployment benefits or individuals who are self-employed.

Earnings to individuals participating in disaster relief unemployment under DUA will not be considered income for purposes of determining CalWORKs eligibility and grant determination.

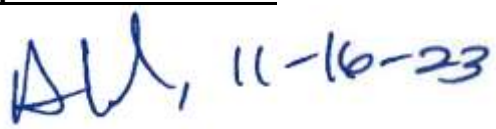
Procedure:
None

Impacts:
None

References:
- Eligibility Assistance Standard (EAS) 44-103, 44-113.32.
- All County Letter (ACL) No. 00-13.
- All County Informing Notice (ACIN) No. I-16-03.

Sunset Date:
This policy will be reviewed for continuance by November 30, 2026.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services